

# EQB Inc. (EQB)

Digital Deposit Growth and Margin Expansion Support the Challenger Model

EQB, TSX | Financials | Digital and Specialized Banking

## OVERWEIGHT

|                        |           |
|------------------------|-----------|
| Price (22 Aug 2024):   | C\$95.28  |
| Price Target (Dec-25): | C\$115.00 |

## INVESTMENT THESIS

EQB delivered record Q2 revenue of C\$316.7mm, adjusted EPS of C\$2.81 and adjusted ROE of 15.9%. Net interest margin expanded to 2.11%, while EQ Bank customers increased 36% year over year to more than 457,000.

The digital deposit franchise lowers funding concentration and supports growth in alternative mortgages, insured multi-unit lending and decumulation products. Credit costs have risen from a low base, making underwriting and funding resilience the key tests.

Our C\$115 December 2025 target applies 9.0x FY25E adjusted EPS of C\$12.80 and 1.3x forward book. The discount to major banks is no longer extreme, but faster growth and a strong CET1 ratio support upside.

- Q2 revenue increased 20% to C\$316.7mm, adjusted EPS rose 7% to C\$2.81 and adjusted PPPT reached C\$173.5mm.
- EQ Bank deposits grew to C\$8.7bn, total deposits to C\$33.6bn and CET1 remained strong at 14.1%.
- Our C\$115 December 2025 target implies 20.7% price upside. Estimated dividends add 2.7%, for approximately 23.4% total return.

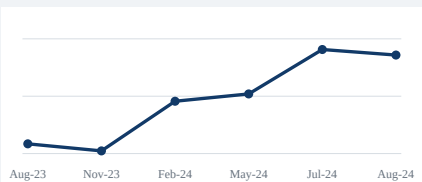
## COMPANY OVERVIEW

EQB operates Equitable Bank and EQ Bank, serving alternative mortgages, commercial real estate, reverse mortgages, savings and digital everyday banking. Specialized underwriting and low-cost digital distribution drive growth; funding and credit are principal risks.

## Akul Veauli

Akul Veauli  
Equity Research Analyst  
Independent research exercise

### PRICE PERFORMANCE



Month-end closes; final point 22 Aug 2024.

### COMPANY DATA

|                    |            |
|--------------------|------------|
| Shares outstanding | 38.28mm    |
| Market cap         | ~C\$3.65bn |
| 52-week range      | ~C\$66-99  |
| Quarterly dividend | C\$0.45    |
| Q2 adjusted EPS    | C\$2.81    |
| Q2 adjusted ROE    | 15.9%      |
| Q2 CET1 ratio      | 14.1%      |
| Latest results     | Q2 2024    |

### KEY ESTIMATES

| C\$m unless noted   | FY22A | FY23A* | FY24E | FY25E |
|---------------------|-------|--------|-------|-------|
| Adjusted revenue    | 785.4 | 944.5  | 1,250 | 1,380 |
| Adjusted net income | 326.7 | 364.3  | 445   | 500   |
| Adj. diluted EPS    | 9.17  | 9.40   | 11.2  | 12.8  |
| Book value / share  | 62.65 | 70.33  | ~80   | ~89   |
| Adjusted ROE        | 15.7% | 17.1%  | ~16%  | ~16%  |

Q2 2024: RECORD REVENUE WITH CREDIT COSTS NORMALIZING

Higher margin, non-interest revenue and a full quarter of ACM Advisors lifted revenue and PPPT. Gross impaired commercial loans declined sequentially, while provisions remained above the comparable period. The result balanced growth with a still-benign but changing credit environment.

| Metric             | Q2/23      | Q1/24      | Q2/24      | Y/Y    | Read-through       |
|--------------------|------------|------------|------------|--------|--------------------|
| Adjusted revenue   | C\$264.6   | C\$298.8   | C\$316.7   | +20%   | Record             |
| Adjusted EPS       | C\$2.62    | C\$2.76    | C\$2.81    | +7%    | Steady growth      |
| Adjusted ROE       | 16.9%      | 15.6%      | 15.9%      | Down   | Above target       |
| NIM                | 1.95%      | 2.01%      | 2.11%      | +16bp  | Funding and mix    |
| Adjusted PPPT      | C\$144.3mm | C\$164.7mm | C\$173.5mm | +20%   | Operating leverage |
| Book value / share | C\$64.47   | C\$71.33   | C\$73.73   | +14%   | Compounding        |
| CET1 ratio         | ~14%       | ~14%       | 14.1%      | Stable | Strong capital     |

FORECAST AND EARNINGS FRAMEWORK

We model high-teens FY24E adjusted EPS growth as margin and asset growth offset higher provisions. FY25E assumes customer and deposit growth continue, credit normalizes without a severe housing downturn and adjusted ROE remains near 16%.

| C\$mm unless noted   | FY22A | FY23A* | FY24E | FY25E | FY26E |
|----------------------|-------|--------|-------|-------|-------|
| Adjusted revenue     | 785.4 | 944.5  | 1,250 | 1,380 | 1,520 |
| Adjusted net income  | 326.7 | 364.3  | 445   | 500   | 555   |
| Adjusted diluted EPS | 9.17  | 9.40   | 11.2  | 12.8  | 14.0  |
| EPS growth           | -     | 3%     | 19%   | 14%   | 9%    |
| Book value / share   | 62.65 | 70.33  | ~80   | ~89   | ~99   |
| Adjusted ROE         | 15.7% | 17.1%  | ~16%  | ~16%  | ~16%  |
| NIM                  | 1.87% | 1.97%  | ~2.1% | ~2.1% | ~2.1% |
| Dividend / share     | 1.21  | 1.10   | 1.80  | 2.10  | 2.40  |
| CET1 ratio           | 13.7% | 14.0%  | ~14%  | ~14%  | ~14%  |

FUNDING STRENGTH IS PART OF THE CREDIT STORY

More than 95% of deposits were term or insured, and regulatory liquidity covered a large share of demand deposits. That funding mix lowers run risk but does not eliminate credit sensitivity in uninsured mortgages and commercial loans.

GROWTH DRIVERS: DIGITAL DEPOSITS, SPECIALIZED CREDIT AND FEE INCOME

EQB uses a low-cost digital channel and focused underwriting to compete outside the major-bank model. The opportunity is to scale without allowing deposit competition or credit normalization to erode returns.

| Driver            | FY23A     | Q2/24    | FY25E    | FY26E    | Investment implication |
|-------------------|-----------|----------|----------|----------|------------------------|
| EQ Bank customers | >400k     | >457k    | >550k    | >650k    | Deposit growth         |
| EQ Bank deposits  | C\$8.23bn | C\$8.7bn | >C\$10bn | >C\$12bn | Funding moat           |
| NIM               | 1.97%     | 2.11%    | ~2.1%    | ~2.1%    | Revenue driver         |
| Book value / sh   | C\$70.33  | C\$73.73 | ~C\$89   | ~C\$99   | Compounding            |
| Adjusted ROE      | 17.1%     | 15.9%    | ~16%     | ~16%     | Valuation anchor       |
| CET1              | 14.0%     | 14.1%    | ~14%     | ~14%     | Growth capacity        |

DIGITAL DEPOSITS

Customer growth and product expansion diversify funding. Competitive savings rates can raise costs, so engagement and cross-sell matter as much as account growth.

SPECIALIZED LENDING

Alternative mortgages, insured multi-unit housing and decumulation products offer attractive niches. Underwriting must remain conservative as household and commercial credit normalizes.

FEE INCOME AND CAPITAL

ACM Advisors and securitization activity diversify spread revenue. A strong CET1 ratio supports growth and dividends while preserving resilience.

VALUATION AND PRICE TARGET

Our December 2025 target is C\$115. The primary framework applies 8.98x to our FY25E adjusted EPS of C\$12.80. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

| Method          | Weight | Input                | Output | Rationale            |
|-----------------|--------|----------------------|--------|----------------------|
| Forward P/E     | 50%    | 8.98x FY25E C\$12.80 | C\$115 | Growth at a discount |
| Cash-flow model | 30%    | 11% cost of equity   | C\$110 | Cash conversion      |
| Peer check      | 20%    | ~1.37x forward book  | C\$122 | Relative valuation   |
| Weighted target | 100%   |                      | C\$115 | Rounded target       |

VALUATION SENSITIVITY

| FY25E EPS / P-E | 7.0x  | 8.0x   | 9.0x   | 10.0x  | 11.0x  |
|-----------------|-------|--------|--------|--------|--------|
| C\$10.88        | C\$76 | C\$87  | C\$98  | C\$109 | C\$120 |
| C\$12.16        | C\$85 | C\$97  | C\$109 | C\$122 | C\$134 |
| C\$12.80        | C\$90 | C\$102 | C\$115 | C\$128 | C\$141 |
| C\$13.44        | C\$94 | C\$108 | C\$121 | C\$134 | C\$148 |

At C\$95.28, the shares trade at 7.4x our FY25E adjusted EPS. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

| Scenario | Probability | Key assumptions                                      | Value  |
|----------|-------------|------------------------------------------------------|--------|
| Bull     | 25%         | Digital growth and benign credit lift ROE >17%       | C\$140 |
| Base     | 55%         | Mid-teens growth; 16% ROE; stable funding            | C\$115 |
| Bear     | 20%         | Housing downturn; provisions rise; margin compresses | C\$78  |

The probability-weighted scenario value is C\$114. Our C\$115 target implies 20.7% price appreciation and approximately 23.4% total return including estimated dividends through December 2025. We rate EQB Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- EQ Bank customer and deposit growth exceeds plan.
- Credit costs moderate in the second half.
- NIM remains above 2% despite competition.
- Fee businesses scale faster than expected.

DOWNSIDE RISKS

- Housing or commercial credit deteriorates.
- Deposit competition compresses margin.
- Funding markets become less accessible or more expensive.
- Rapid growth weakens underwriting discipline.

METHODOLOGY AND SOURCE NOTES

1. EQB FY2022 and 10-month FY2023 results dated 16 February and 7 December 2023: <https://eqb.investorroom.com/2023-02-16-EQB-reports-Q4-and-2022-guidance-achieved-and-a-6-dividend-increase> and <https://eqb.investorroom.com/2023-12-07-EQB-delivers-record-annual-earnings-and-increases-dividend-5-sequentially-as-fiscal-year-changes-to-align-with-industry>
2. EQB Q2 2024 results and supplemental information dated 29 May 2024: <https://eqb.investorroom.com/2024-05-29-EQB-delivers-ROE-ahead-of-target-with-record-quarterly-revenue-and-pre-provision-pre-tax-earnings-and-a-7-q-q-and-22-y-y-dividend-increase> and [https://eqb.investorroom.com/image/EQB\\_Supplemental\\_Financial\\_Information\\_Q2\\_2024\\_SEDAR.pdf](https://eqb.investorroom.com/image/EQB_Supplemental_Financial_Information_Q2_2024_SEDAR.pdf)
3. Market data: EQB raw TSX close of C\$95.28 on 22 August 2024: <https://query2.finance.yahoo.com/v8/finance/chart/EQB.TO?period1=1692748800&period2=1724371200&interval=1d&events=history>
4. \*FY23 was a 10-month transition year. All forecasts, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by EQB, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

| Rating      | Mechanical definition                                           |
|-------------|-----------------------------------------------------------------|
| Overweight  | Expected total return above 15% over the stated target horizon. |
| Neutral     | Expected total return between 0% and 15%.                       |
| Underweight | Expected total return below 0%.                                 |

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.